

business & economy SLOWDOWN

■ By Malini Bhupta

India Inc has got the blues. Tight liquidity conditions coupled with soaring costs have taken the wind out of corporate India. After growing at a spectacular pace in the last four years, it has hit a speed-breaker. So much so that the Dun and Bradstreet Optimism Index (for sales) is now at a five-year low. The picture points to a gathering pessimism in an economy that a year back was unstoppable. News headlines are hogged by reports of slowdown in the sales of automobiles and durables, and in the movement of retail shelves. Consumers are vacating plush malls and automobile showrooms; durables manufacturers are desperately wooing traffic to their dealers with combination offers and realtors are offering to share, and even delay, EMIs till apartments are ready to be delivered. Thanks to the drop in private consumption which fuelled the 9-plus per cent GDP growth, 11 of the 17 manufacturing industry groups in the index of industrial production (IIP) showed slower or negative growth in the first half of financial year 2007-08.

On the face of it, the slowdown is the direct result of inflation. Private consumption is not only 60 per cent of the GDP but is also the driving force contributing to as high as 45 per cent of the GDP growth. It makes or mars the economy. And the boom, for all intents, was triggered by the interest rate cut of 2003. This led to a spurt in demand and growth. Consumption created demand, triggered output, delivered profits and fuelled expansion that generated employment. But this virtuous cycle didn't last long and was interrupted by a phantom called inflation. By the summer of 2006, RBI had issued the warning signals that too much money was chasing goods. Or that demand was outstripping supply, both in inputs and food articles which hurt the poor. This made the issue political.

As economist Bibek Debroy put it succinctly, "The Government made a wrong choice in the growth-inflation trade-off. Monetary policy which was unleashed to counter inflation has not worked to control inflation but has definitely hurt growth." Translated, the monetary approach of squeezing the supply of money and making it costlier

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Automobiles



Down by: Overall auto sales have declined by 4.7 per cent from 1,01,23,988 units in 2006-07 to 96,48,105 units in 2007-08

Why? High interest rates coupled with tighter consumer finance have affected the sales of vehicles with two-wheelers taking the biggest hit

Impact: A slackened demand could affect investment which will be detrimental to the health of the already suffering two-wheeler industry

"Tight liquidity and high cost of funds are hurting sales. Easy credit to consumers will spur growth."

RAHUL BAJAJ, CHAIRMAN, BAJAJ AUTO